Chapter 5

EXPECTATIONS FOR THE GREAT BEAR MARKET

ANALYTICAL PERSPECTIVE

Readers of this book must understand that long term forecasts are exactly that; they will not be fulfilled by a week from Thursday, and the path the market takes to achieve a target may include wide intervening swings. The elements of a forecast under the Wave Principle, in order of predictability, are direction, degree, extent (price target), pattern and duration. Time, then, is the least predictable element. For instance, when in 1982 *The Elliott Wave Theorist* made the case for the Dow Jones Industrial Average to (1) go *up* (direction), (2) go up an amount proportionate to the 1932-1937 and 1942-1966 rises (degree), (3) reach 3500-4000, with specific targets at 3885 and 3686 (extent), and (4) trace out *five waves* (pattern), all of those forecasts were considered virtually certain. However, the *duration* eluded our analysis entirely, as the 1978 expectation that the bull market would end in 1983 or 1987 and the 1983 forecast that it would end in 1987 or 1990 proved well off the mark. Still, these three time forecasts were not entirely without merit, as those years did contain the three most important highs of the past thirteen years.

In the same way, some elements of the current forecast are virtually certain and others are not. Here is my assessment of the probability of each element that will be discussed in this chapter:

(1) **Direction**: The downward direction of the next major move is certain, despite today's majority opinion that prices will continue rising over the long term forever, with corrections of no more than 10%.

(2) **Degree**: The bear market is almost surely to be of Grand Supercycle degree, and will definitely be of at least Supercycle degree, which for practical purposes is all we need to know.

(3) **Extent**: A drop to at least Dow 1000 is certain. A drop to below 400 at one or more times during the bear market is nearly certain. A precise price forecast will become available after the pattern has progressed substantially.